Practice workbook · Regulation, fines and pollution permits

Rules and legal limits, fines and tradable pollution permits used to reduce negative externalities and protect the environment (and to deter harmful behaviour such as speeding or illegal parking), with their advantages and disadvantages.

23 question parts: 1 worked-example retry and 22 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ECO-T12-21

1. Question 2 · part g · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part g only.

DO NOT WRITE IN THIS AREA

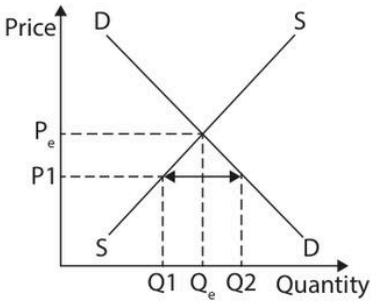
DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

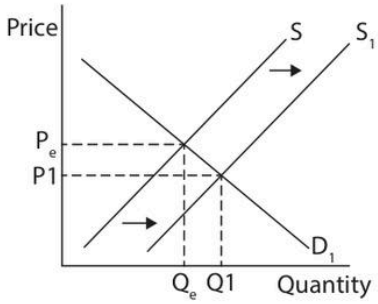
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

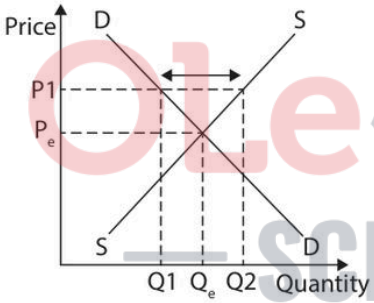
☒ **A**



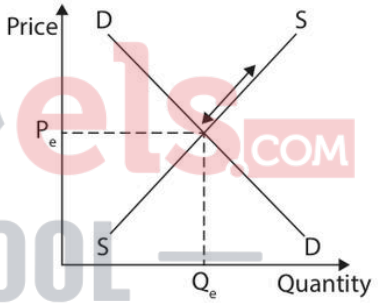
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of a monopoly?

(1)

☒ **A** Consumers have a choice of firms

☒ **B** There are many firms competing in the market

☒ **C** The firm is a price-maker

☒ **D** There are low barriers to entry

Olevels.COM SCHOOL

1. Question 2 · part g · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part g only.

(c) Calculate the **percentage change in quantity demanded** for a product if the price elasticity of demand (PED) is –1.9 and the price falls by 10%. You are advised to show your working.

(2)

(d) What is meant by the term social benefits?

(2)

(e) Describe **one** feature of an oligopoly.

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8

P 7 2 9 6 7 A 0 8 2 4

1. Question 2 · part g · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part g only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Hanan is the owner of a shop and wants to maximise profits. However, Mostafa is the manager of the shop and wants to offer customers a 10% discount for making purchases in large quantities.

(f) Explain **one** reason why Mostafa may want to offer this discount rather than to maximise profit.

(3)

OLevels.COM SCHOOL

1. Question 2 · part g · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part g only.

A ban on single-use plastic bags has been in place in Kenya for more than five years. It has led to a cleaner environment, as plastic bags were causing visual pollution and endangering the lives of livestock that consumed them. However, the ban has not been effective in totally removing the problem.

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of government regulation when dealing with externalities such as pollution.

(9)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

10

P 7 2 9 6 7 A 0 1 0 2 4

1. Question 2 · part g · 9 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part g only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

(Total for Question 2 = 20 marks)

1. Question 2 · part g · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 2 · part h · 9 marks

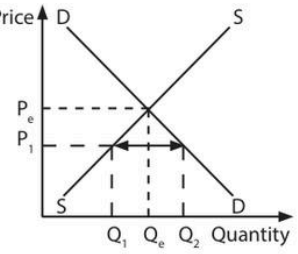
2020 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

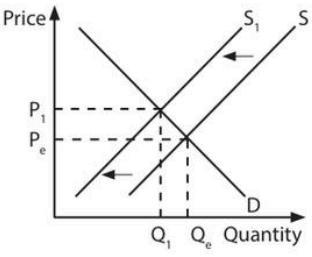
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

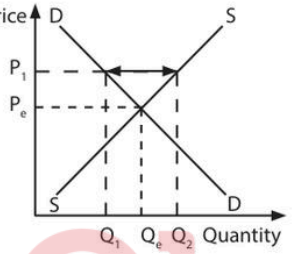
☒ **A**



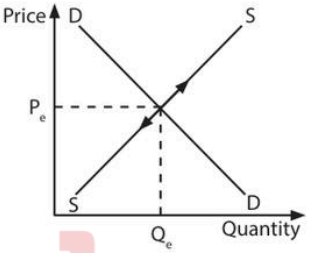
☒ **B**



☒ **C**



☒ **D**



OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 5 8 2 7 6 A 0 8 2 8

2. Question 2 · part h · 9 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(b) Which **one** of the following is most likely to create a barrier to entry?

(1)

- ☒ **A** Government provides subsidies for new firms
- ☒ **B** Increasing personal incomes in the economy
- ☒ **C** Low start-up costs
- ☒ **D** Use of expensive technology

(c) Calculate the **price elasticity of demand (PED)** for a product if price falls by 10% and quantity demanded increases by 19%. You are advised to show your working.

(2)

OLevels.com SCHOOL

(d) State the formula for social benefits.

(1)

(e) Define the term consumer.

(1)

2. Question 2 · part h · 9 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

(f) Describe **one** factor that may influence the growth of a firm.

(2)

There are many health warnings about the dangers of eating too much sugar but some consumers continue to do so.

(g) Explain **one** reason why consumers may still make this decision.

(3)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

2. Question 2 · part h · 9 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

Sea cucumbers are marine animals that have an important role in keeping the coral reef ecosystem healthy. US firm, Orient Seafood Production (OSP), has been fined $1.5m for over-harvesting sea cucumbers. Harvesting sea cucumbers is legal in the US. There is a limit on the quantity allowed to be harvested due to their positive impact on the coral reefs.

OSP was accused of under-reporting harvests by 113,400 kg during a two-year period. Before he paid the fine, the firm's owner had made high profits from sales to China, where there is an increasing demand.

(Source adapted from: https://www.independent.co.uk/news/world/americas/sea-cucumbers-prison-over-harvesting-orient-seafood-production-hoon-namkoong-washington-a8562046.html)

(h) With reference to the data above and your knowledge of economics, assess the effectiveness of government fines when dealing with externalities such as over-harvesting sea cucumbers.

(9)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

2. Question 2 · part h · 9 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part h only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

(Total for Question 2 = 20 marks)

2. Question 2 · part h · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 3 · part e · 9 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

3 (a) Which **one** of the following policies is most likely to reduce the rate of inflation?

(1)

- ☒ **A** Lower interest rates
- ☒ **B** Increased money supply
- ☒ **C** Higher government spending
- ☒ **D** Higher taxation

(b) In an exchange rate system with no government intervention, a decrease in the exchange rate is known as

(1)

- ☒ **A** appreciation
- ☒ **B** devaluation
- ☒ **C** depreciation
- ☒ **D** revaluation

In 2018, the annual rate of inflation in Egypt was 16% in September and 17.7% in October.

(c) Explain **one** likely impact of this change in inflation on the current account of the balance of payments for a country such as Egypt.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

3. Question 3 · part e · 9 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

The demand for the US$ changed following the publication in 2019 of the latest US growth rate report.

(d) Analyse the impact of currency speculators on the supply and demand of the currency for a country such as the US.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

3. Question 3 · part e · 9 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

16

P 5 8 3 8 5 A 0 1 6 2 4

3. Question 3 · part e · 9 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

In Western Australia, single-use plastic bags were banned in July 2018 but fines were not enforced. However, from 2019, under new regulations, any shops providing customers with the banned plastic bags may face prosecution, with fines of up to AUS$5 000. The government is relying on shoppers to report retailers that break the rules.

The Environment Minister Stephen Dawson said the ban is well supported by the community. He said "Taking plastic bags out of litter is a significant step towards protecting our environment".

(e) With reference to the data above and your knowledge of economics, assess the likely effectiveness of regulation to protect the environment in a country such as Australia.

(9)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

3. Question 3 · part e · 9 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

(Total for Question 3 = 20 marks)

3. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 2 · part e · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

2 Figure 2 shows the rates of taxation in the UK in 2018.

Income per year (£)	Tax rate (%)
0 to 11 850	0
11 851 to 46 350	20
46 351 to 150 000	40
150 000 upwards	45

Figure 2

(a) This is an example of what type of taxation system?

(1)

- ☒ **A** Indirect
- ☒ **B** Progressive
- ☒ **C** Regressive
- ☒ **D** Value added

(b) To improve the standard of living, which **one** of the following is a government likely to reduce?

(1)

- ☒ **A** Welfare payments
- ☒ **B** Subsidies for housing
- ☒ **C** Education
- ☒ **D** Indirect taxes

(c) State **one** method of government intervention that should lead to the protection of the environment.

(1)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

4. Question 2 · part e · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

(d) What is meant by the term relative poverty?

(2)

In Manchester, UK, over 350,000 motorists have been issued with parking fines of £30. This gave the local government of Manchester additional revenue of £10.4m in one year.

(e) Explain **one** advantage for a local government, such as Manchester, of issuing parking fines.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

4. Question 2 · part e · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

A recent report estimates 23% of gross domestic product (GDP) in Greece is from revenue that goes unrecorded by the government.

(f) Explain **one** possible reason why a large percentage of Greece's GDP might be unrecorded.

(3)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

4. Question 2 · part e · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 2 · part g · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part g only.

2

Market share by firm for a market in Azerbaijan

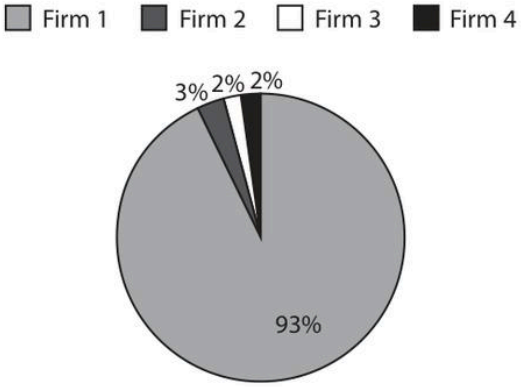


Figure 3

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 3?

(1)

- ☒ **A** Cartel
- ☒ **B** Oligopoly
- ☒ **C** Monopoly
- ☒ **D** Competitive

(b) Which **one** of the following is a reason why consumers may not maximise their benefit?

(1)

- ☒ **A** Consumers may accurately calculate the satisfaction they gain
- ☒ **B** Consumers may have habits that are hard to give up
- ☒ **C** Consumers are always rational when making decisions
- ☒ **D** Consumers never copy the behaviour of others

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

5. Question 2 · part g · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part g only.

(c) State the formula for price elasticity of supply (PES).

(1)

Figure 4 shows some of the production costs in the month of May for a firm manufacturing football souvenirs in Qatar, in preparation for the 2022 World Cup.

Production costs	Qatari Riyal (QR)
Rent	5 000
Raw materials	2 000
Advertising	500
Labour (paid according to output)	15 000

Figure 4

(d) Calculate the **total variable costs** for the firm in the month of May. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

5. Question 2 · part g · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part g only.

(e) Define the term takeover.

(1)

(f) Describe **one** reason why demand for a product usually becomes more price elastic over time.

(2)

In the UK, the speed limit for drivers in urban areas is 30 miles per hour (48 kilometres per hour).

(g) Explain **one** reason why the UK Government may use fines to reduce the negative externalities caused by drivers speeding in urban areas.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

10

P 6 2 0 3 0 A 0 1 0 2 4

5. Question 2 · part g · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part g only.

Some countries, such as Cuba, rely mostly on public sector ownership to provide goods and services. Others, such as Japan rely more on private sector ownership. In Japan, health, education and street lighting are often provided by public sector ownership but Japan also produces a high quantity of electronic goods used for entertainment.

(h) With reference to the data above and your knowledge of economics, assess how effective public sector ownership and private sector ownership are likely to be in solving the economic problem.

(9)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

5. Question 2 · part g · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 2 · part e · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part e only.

2 (a) Which **one** of the following products has a price inelastic demand?

(1)

	Product	Price elasticity of demand (PED)
☒ **A**	**W**	–1.5
☒ **B**	**X**	–1
☒ **C**	**Y**	–0.5
☒ **D**	**Z**	1

(b) Which **one** of the following is the formula for calculating average cost?

(1)

☒ **A** $\frac{\text{Total fixed cost}}{\text{Quantity produced}}$

☒ **B** $\frac{\text{Total revenue}}{\text{Quantity produced}}$

☒ **C** $\frac{\text{Total cost}}{\text{Quantity produced}}$

☒ **D** $\frac{\text{Total variable cost}}{\text{Quantity produced}}$

(c) State **one** reason why governments intervene in the economy.

(1)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

P 6 5 8 9 6 A 0 6 2 4

6. Question 2 · part e · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part e only.

Figure 2 shows selected financial data of a firm selling shoes.

	Cost/Revenue per pair of shoes ($)
Selling price	89
Raw materials	17
Labour	35

Figure 2

(d) Calculate the **profit or loss** for the firm for each pair of shoes. You are advised to show your working.

(2)

Governments can use fines to deal with externalities.

(e) Define the term fine.

(1)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

6. Question 2 · part e · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part e only.

(f) Describe **one** benefit to consumers of privatisation.

(2)

Microsoft has a patent on a number of its technological designs.

(g) Explain **one** reason why Microsoft might have patents on its designs.

(3)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

6. Question 2 · part e · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 2 · part h · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part h only.

2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

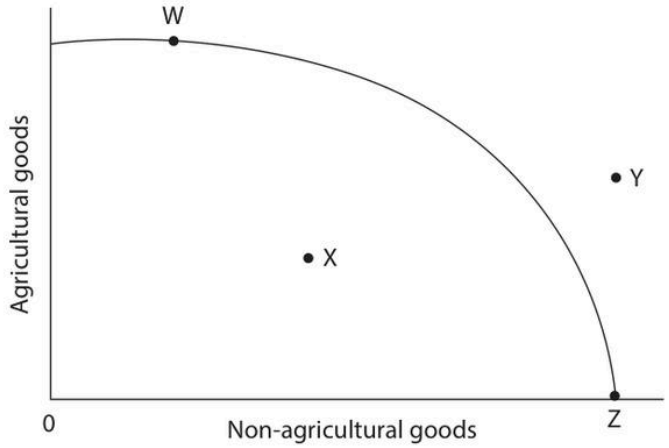


Figure 2

(a) Which **one** of the following points shows unemployed resources? **(1)**

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) A trade union is an organisation that aims to protect **(1)**

- ☒ **A** consumer interests
- ☒ **B** the environment
- ☒ **C** employee rights
- ☒ **D** the government

(c) State **one** reason why firms stay small. **(1)**

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

7. Question 2 · part h · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part h only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

A firm increases supply by 2.7% following a price increase of 4.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(e) Define the term price-maker.

(1)

OLevels.com SCHOOL

(f) Describe **one** reason why a computer can be a factor of production.

(2)

P 6 5 8 9 7 R A 0 7 2 0

7. Question 2 · part h · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part h only.

Abi owns a small cafe. It is often very busy and customers may have to wait for a table. Abi is considering whether to move to a larger premises. A larger property has become available but it would cost almost double the current rent.

(g) Explain **one** factor that could affect whether Abi is able to expand her business.

(3)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

7. Question 2 · part h · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part h only.

High pollution levels in the busy Indonesian city of Jakarta are mainly due to the large volume of traffic. There are over 17 million vehicles registered in the area, each emitting fumes into the environment. The number of vehicles is increasing.

In 2007, government regulations were introduced to reduce the volume of traffic in the city. For example, every Sunday morning, over 8 km of Jakarta's roads are traffic-free as vehicles are banned. In 2016, it was reported that air quality had improved by 65% compared to the levels before the regulations were introduced.

(h) With reference to the data above and your knowledge of economics, assess the effectiveness of government regulations when dealing with externalities such as air pollution in Jakarta.

(9)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

7. Question 2 · part h · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part h only.



7. Question 2 · part h · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 3 · part a · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

3 (a) A pollution permit is a type of

(1)

- ☒ **A** factor of production
- ☒ **B** government intervention
- ☒ **C** economy of scale
- ☒ **D** economic assumption

(b) Which **one** of the following is likely to lead to an increase in the productivity of land?

(1)

- ☒ **A** Increase in the use of fertiliser
- ☒ **B** Decrease in the use of irrigation
- ☒ **C** Increase in the use of advertising
- ☒ **D** Decrease in the use of drainage

OLevels.COM — SCHOOL —

8. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 1 · part i · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part i only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Taxation
- ☒ **B** Gym workout
- ☒ **C** Enterprise
- ☒ **D** Restaurant meal

A firm charges a price of $160 per item and has average costs of $120 per item. It sells 20 000 items.

(b) What is the total revenue for the firm?

(1)

- ☒ **A** $19 200
- ☒ **B** $20 160
- ☒ **C** $2 400 000
- ☒ **D** $3 200 000

(c) What is meant by the term normal good?

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

9. Question 1 · part i · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part i only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(d) State the formula for social benefits.

(1)

(e) Define the term niche market.

(1)

Greg produces pottery at a small factory in his local area. At the start of the year price increased by 5.4% and quantity supplied increased by 4.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for Greg's pottery. You are advised to show your working.

(2)

OLevels.com SCHOOL

9. Question 1 · part i · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part i only.

(g) Using the diagram below, draw the likely effects on the market for apples following a decrease in the price of bananas. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

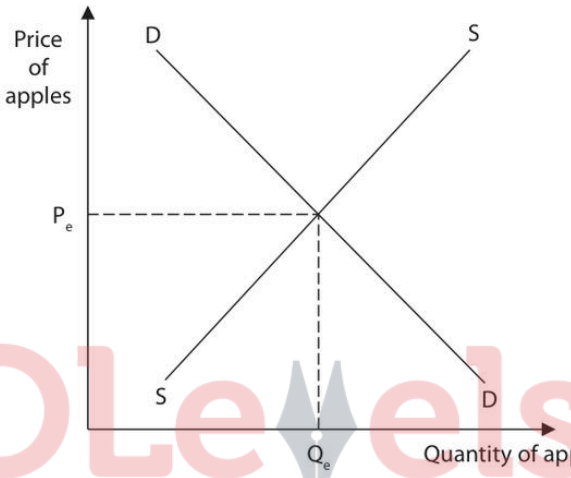


Figure 1

Warehouse employees at a small firm in Malta specialise in one task, such as sealing boxes, for orders that are sent to consumers.

(h) Explain **one** disadvantage of the division of labour for the warehouse employees.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

P 6 6 3 2 7 A 0 4 2 4

9. Question 1 · part i · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part i only.

Regulation was introduced by the German Government in an attempt to reduce the number of plastic bottles being thrown away. A fee of €0.25 is added to the price of a product but is refunded when the bottle is returned. The new scheme is cheaper for the government and 98.5% of the bottles are now returned.

(i) With reference to the data above and your knowledge of economics, analyse the likely impact on externalities of this type of regulation.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

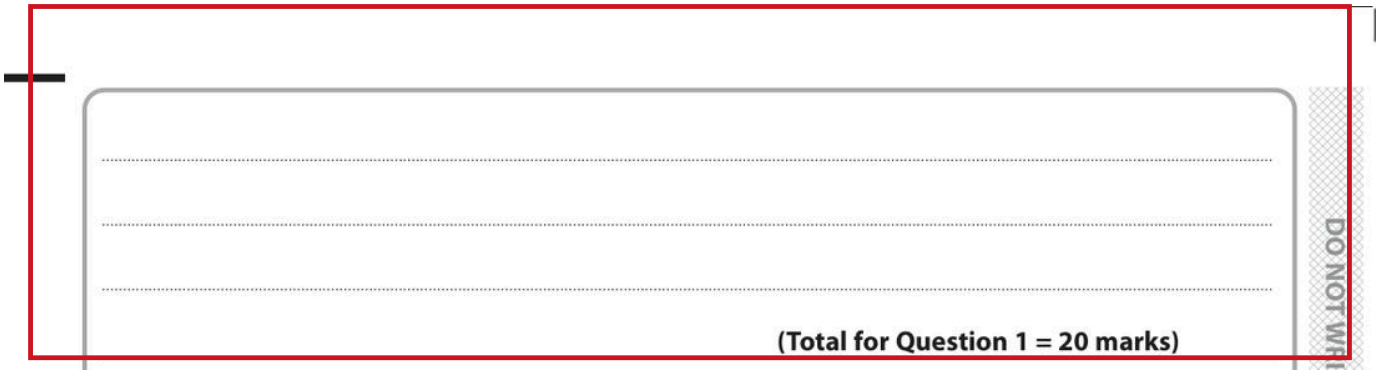
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

9. Question 1 · part i · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part i only.



Working and answer

OLevels.com SCHOOL

10. Question 3 · part e · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

3 (a) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a national minimum wage rate
- ☒ **B** More health and safety laws
- ☒ **C** Introducing licences for firms to operate
- ☒ **D** More firms allowed to enter a market

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An improvement in productivity
- ☒ **B** An improvement in weather conditions
- ☒ **C** An increase in wage rates
- ☒ **D** An increase in the consumption of goods

OLevels.COM SCHOOL

10. Question 3 · part e · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

The UK Government gives subsidies to firms in the renewable energy market that provide wind and solar energy.

(c) Explain **one** reason why the UK Government gives subsidies to firms in the renewable energy market.

(3)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

10. Question 3 · part e · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Nauru is a tiny island country in Micronesia, northeast of Australia. It has a population of 10,824. In 2019, Nauru had a fiscal surplus of 16.1% of GDP.

(d) With reference to the data above and your knowledge of economics, analyse the benefits of having a fiscal surplus for a country such as Nauru.

(6)

OLevels.com SCHOOL

10. Question 3 · part e · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

More than 125 million tonnes of poisonous gases pollute the US state of Colorado's air every year. US Government records show that 46 million tonnes, or 36% of the total air pollution, comes from 119 large industrial polluters. These include 35 power stations. More than half the electricity in Colorado is still generated from burning coal despite 10 years of government efforts to encourage producers to switch to clean energy.

(e) With reference to the data above and your knowledge of economics, assess the effectiveness of pollution permits in protecting the environment for a country such as the US.

(9)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

10. Question 3 · part e · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.



10. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

11. Question 2 · part d · 2 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

2 (a) Which type of unemployment would result from the permanent closure of a coal mine?

(1)

- ☒ **A** Seasonal
- ☒ **B** Voluntary
- ☒ **C** Structural
- ☒ **D** Cyclical

(b) What would be the annual amount of interest earned on £7 000 of savings if the interest rate was 3% per annum?

(1)

- ☒ **A** £21
- ☒ **B** £210
- ☒ **C** £2 333
- ☒ **D** £7 210

(c) State **one** advantage of free trade.

(1)

(d) What is meant by the term pollution permits?

(2)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 7 1 5 5 8 A 0 8 2 4

11. Question 2 · part d · 2 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

An airport is a key part of most large urban areas. They are usually found on the edge of cities and are often surrounded by houses.

(e) Explain **one** way an airport can cause damage to the environment.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

11. Question 2 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

12. Question 2 · part g · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

2 (a) Which type of unemployment would result from the permanent closure of a coal mine?

(1)

- ☒ **A** Seasonal
- ☒ **B** Voluntary
- ☒ **C** Structural
- ☒ **D** Cyclical

(b) What would be the annual amount of interest earned on £7 000 of savings if the interest rate was 3% per annum?

(1)

- ☒ **A** £21
- ☒ **B** £210
- ☒ **C** £2 333
- ☒ **D** £7 210

(c) State **one** advantage of free trade.

(1)

(d) What is meant by the term pollution permits?

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

12. Question 2 · part g · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

An airport is a key part of most large urban areas. They are usually found on the edge of cities and are often surrounded by houses.

(e) Explain **one** way an airport can cause damage to the environment.

(3)

OLevels.COM SCHOOL

12. Question 2 · part g · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

China announced that in 2021 it would increase its import quota for crude oil by 20%.

(f) Using the diagram below, draw the effect of the introduction of the new quota. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

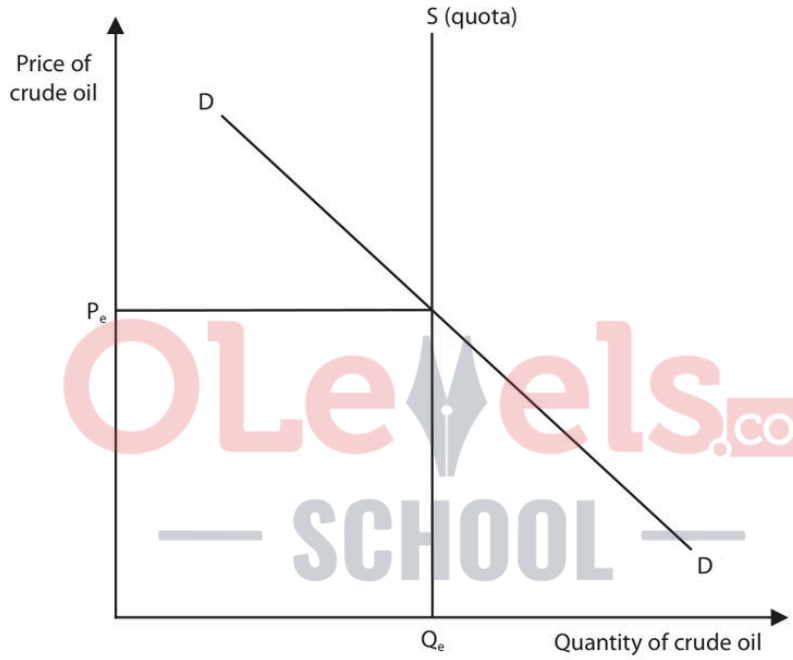


Figure 2

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

12. Question 2 · part g · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

In 2021, Thames Water was fined £2.3m after being found guilty of polluting a stream in 2016. The pollution killed more than 1,000 fish.

The total amount in fines paid by Thames Water since 2017 was £24.4m for 9 separate cases of water pollution. In 2020, Thames Water made an operating profit of £513.4m.

(Source: https://www.gov.uk/government/news/thames-water-fined-23-million-for-foreseeable-pollution)

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of using fines to protect the environment in a country such as the UK.

(9)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

12. Question 2 · part g · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

(Total for Question 2 = 20 marks)

12. Question 2 · part g · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

13. Question 2 · part b · 1 mark

2023 JAN · Paper 02

Further practice · Attempt part b only.

2 (a) Money earned from foreign tourists visiting Canada is shown in Canada's current account on the balance of payments as:

(1)

- ☒ **A** visible exports
- ☒ **B** visible imports
- ☒ **C** invisible exports
- ☒ **D** invisible imports

(b) Which **one** of the following is likely to help protect the environment?

(1)

- ☒ **A** An increase in fines
- ☒ **B** An increase in pollution permits
- ☒ **C** A reduction in regulation
- ☒ **D** A reduction in the provision of parks

(c) State **one** possible disadvantage of economic growth.

(1)

(d) What is meant by the term privatisation?

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

13. Question 2 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

14. Question 2 · part b · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA

2 (a) Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **(1)**

☒ **A** $\frac{\text{Percentage change in quantity demanded}}{\text{Percentage change in price}}$

☒ **B** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity demanded}}$

☒ **C** $\frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$

☒ **D** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity supplied}}$

A court in China ordered a firm to pay 10 000 Yuan because it polluted a local river.

(b) This is an example of which **one** of the following? **(1)**

☒ **A** A fine

☒ **B** A permit

☒ **C** A subsidy

☒ **D** A tax

OLevels.com SCHOOL

(c) State **one** example of an external benefit. **(1)**

.....

.....

.....

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

14. Question 2 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

15. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

4 A sports arena in Guatemala holds a maximum of 20,000 people for each event. The quantity of tickets demanded for the most recent events is shown below.

Event	Quantity of tickets demanded
A	22,200
B	21,000
C	20,250

Figure 5

(a) Calculate the **excess demand** for tickets if the quantity supplied for all three events totals 60,000. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

15. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

Zambia has a defence force that includes both an army and an air force. The Zambian Government is responsible for the provision of this defence force.

(b) With reference to the data above and your knowledge of economics, analyse why the free rider problem has led to the Zambian Government providing the defence force.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

15. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

15. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

Polluted air is said to cause over 1,000 deaths each year in Greater Manchester, UK. To reduce the problem, an 800 km^2 'Clean Air Zone' (CAZ) has been proposed, where drivers of certain vehicles would have to pay between £7.50 and £60.00 each day they drive on roads in the region.

All lorries, buses, taxis and vans that do not meet the emission standards will be affected. It is hoped the tax will encourage vehicle owners to drive vehicles that are more environmentally friendly.

However, small business owners in particular will be affected by the proposals. An ice-cream business, established over 100 years ago, stated costs would increase by £29 000 a year for its vans to use roads in the region. It cannot afford to replace them and like many other firms risks going out of business.

(c) With reference to the data above and your knowledge of economics, evaluate the effectiveness of government regulations in dealing with externalities such as air pollution in Greater Manchester.

(12)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

15. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.



15. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.



15. Question 4 · part c · 12 marks · Working and answer

Working and answer

OLevels.com SCHOOL

16. Question 4 · part c · 12 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

4 Figure 4 shows data on the number of people in the labour force in the Netherlands in December 2021.

Labour force	9,210,000
Unemployed	251,000

Figure 4

(Source: https://tradingeconomics.com/netherlands/unemployment-rate)

(a) Calculate, to two decimal places, the **rate of unemployment** in the Netherlands in December 2021. You are advised to show your working.

(2)

OLevels.COM SCHOOL

16. Question 4 · part c · 12 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

Figure 5 shows the rate of inflation (%) for the Netherlands from January 2021 until November 2021.

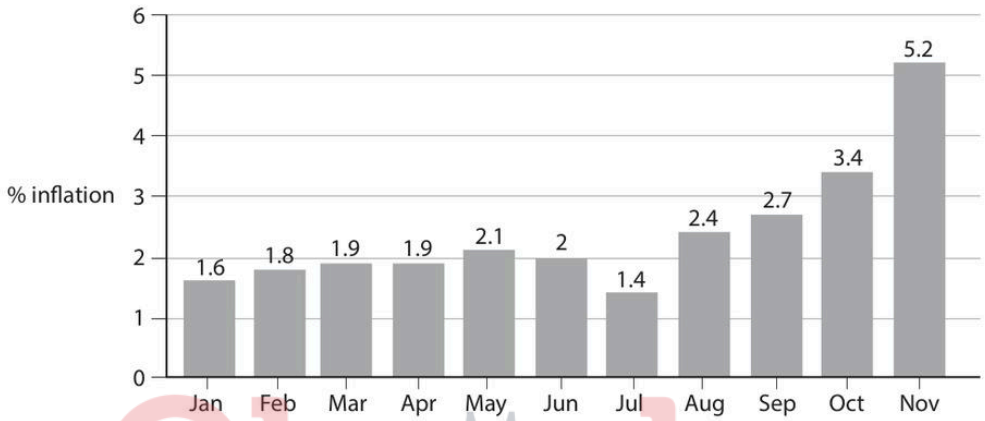


Figure 5

(Source: https://tradingeconomics.com/netherlands/inflation-cpi)

(b) With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on exports for a country such as the Netherlands.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

16. Question 4 · part c · 12 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

16. Question 4 · part c · 12 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

The Tata Steel steelworks in IJmuiden, Netherlands, will have to meet tougher rules on pollution and will have extra checks to make sure it improves the air quality around the plant. These include reducing Tata Steel's current pollution permits and will require it to change some production processes.

The government made the decision following the publication of a report which concluded that dust in the IJmuiden region contained high levels of dangerous metals such as lead. An earlier report stated that air quality in the area was poor to inadequate.

Tata Steel in the Netherlands has a total workforce of 11,000 and indirectly provides work for thousands in the local economy.

(Source: https://www.dutchnews.nl/news/2021/12/tata-steel-faces-tougher-permit-rules-and-more-pollution-checks/)

(c) With reference to the data above and your knowledge of economics, evaluate the effectiveness of using pollution permits to protect the environment of a country such as the Netherlands.

(12)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

20

P 7 4 0 5 9 R A 0 2 0 2 4

16. Question 4 · part c · 12 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

16. Question 4 · part c · 12 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS

OLevels.com SCHOOL

(Total for Question 4 = 20 marks)

16. Question 4 · part c · 12 marks · Working and answer

Working and answer

OLevels.com SCHOOL

17. Question 2 · part d · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part d only.

2 (a) What is the likely impact of lower transport and communication costs on an economy?

(1)

- ☒ **A** Increased unemployment
- ☒ **B** Decreased international trade
- ☒ **C** Increased economic growth
- ☒ **D** Decreased consumer spending

(b) Which **one** of the following types of unemployment is caused by changes in the business cycle?

(1)

- ☒ **A** Structural
- ☒ **B** Seasonal
- ☒ **C** Frictional
- ☒ **D** Cyclical

(c) State **one** possible impact of a current account deficit.

(1)

(d) What is meant by the term fines?

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

17. Question 2 · part d · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part d only.

The US has a progressive taxation system for income tax rates. In 2023, the income tax rates ranged from 10% for individuals on low incomes, up to 37% for those on the highest incomes.

(e) Explain **one** way progressive taxation can help to reduce poverty for a country such as the US.

(3)

(f) Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

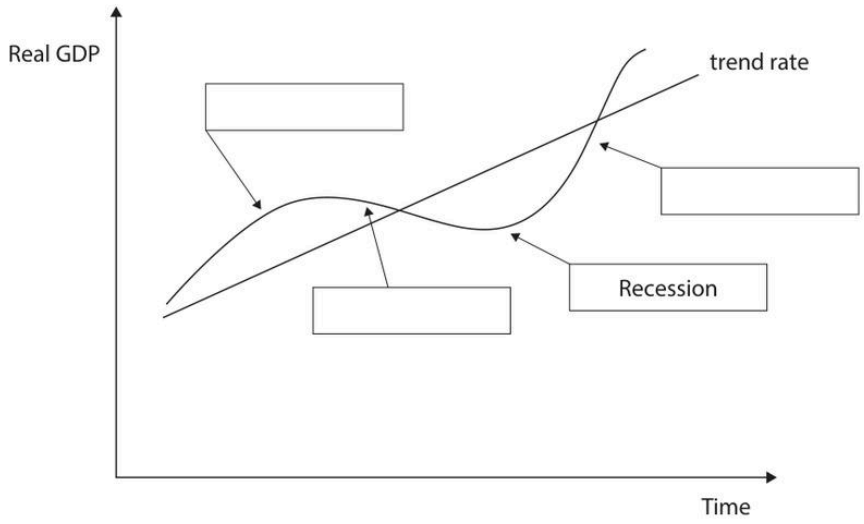


Figure 3

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

17. Question 2 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

18. Question 1 · part g · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

1 (a) Which **one** of the following is a reason why a government wants to reduce poverty and inequality?

(1)

- ☒ **A** It is a legal requirement
- ☒ **B** To increase the gap between rich and poor
- ☒ **C** For basic needs to be met
- ☒ **D** To increase relative poverty

(b) Which **one** of the following is a benefit of using gross domestic product (GDP) as a measure of growth?

(1)

- ☒ **A** It considers the distribution of income
- ☒ **B** It is an accurate measurement of all economic activity
- ☒ **C** It takes inflation into account
- ☒ **D** It is easy to compare economic growth between countries

(c) What is meant by the term deflation?

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

18. Question 1 · part g · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(d) Describe the impact of a reduction in the cost of communication on globalisation.

(2)

Figure 1 shows imports and exports for a country in $bn.

	$bn
Exports of goods	100
Exports of services	26
Imports of goods	87
Imports of services	16

Figure 1

(e) Calculate the **invisible trade balance** in $bn for the country. You are advised to show your working.

(2)

OLevels.COM SCHOOL

18. Question 1 · part g · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

In August 2024, India removed a tariff on imports of tomatoes from Nepal.

(f) Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of tomatoes in India. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

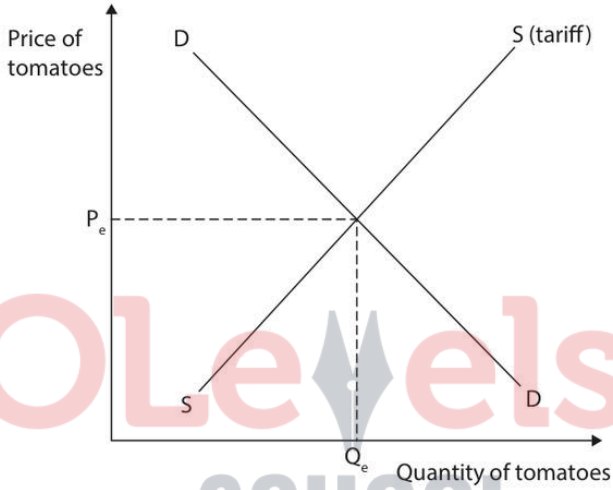


Figure 2

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 7 5 9 5 5 A 0 4 2 8

18. Question 1 · part g · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

In Singapore, the government fined a construction company $1m for breaking safety laws that led to the death of a worker. The company had failed to provide adequate safety equipment and training for its workers.

(g) Explain **one** reason why governments use fines.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

18. Question 1 · part g · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

Annual inflation in Türkiye was 73.5% in May 2023, the highest rate since 1998.
This was mainly caused by an annual increase of 152.7% in energy prices.

(h) With reference to the data above and your knowledge of economics, analyse how high levels of cost-push inflation affect business confidence in a country such as Türkiye.

(6)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

18. Question 1 · part g · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

19. Question 3 · part d · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

3 (a) Which **one** of the following is an advantage of a government giving subsidies to domestic producers?

(1)

- ☒ **A** Reduces government spending
- ☒ **B** Increases imports from other countries
- ☒ **C** Increases production of goods and services
- ☒ **D** Reduces trade disputes

The price of a basket of goods and services was £1 200. The consumer price index (CPI) increased from 120 to 130.

(b) Calculate the new price of the basket of goods and services.

(1)

- ☒ **A** £1 210
- ☒ **B** £1 300
- ☒ **C** £1 330
- ☒ **D** £1 450

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

19. Question 3 · part d · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

In March 2023, as part of its supply-side policy, the Italian Government announced business taxes would be reduced from 27% to 24% in January 2024.

(c) Explain the likely impact on productivity of this change in business taxes for a country such as Italy.

(3)

OLevels.com SCHOOL

19. Question 3 · part d · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

The Clean Air Act (CAA) is an important regulation that sets standards for air quality in the US. The CAA regulates emissions from cars, trucks and buses.

(d) With reference to the data above and your knowledge of economics, analyse how regulations can help to protect the environment in a country such as the US.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

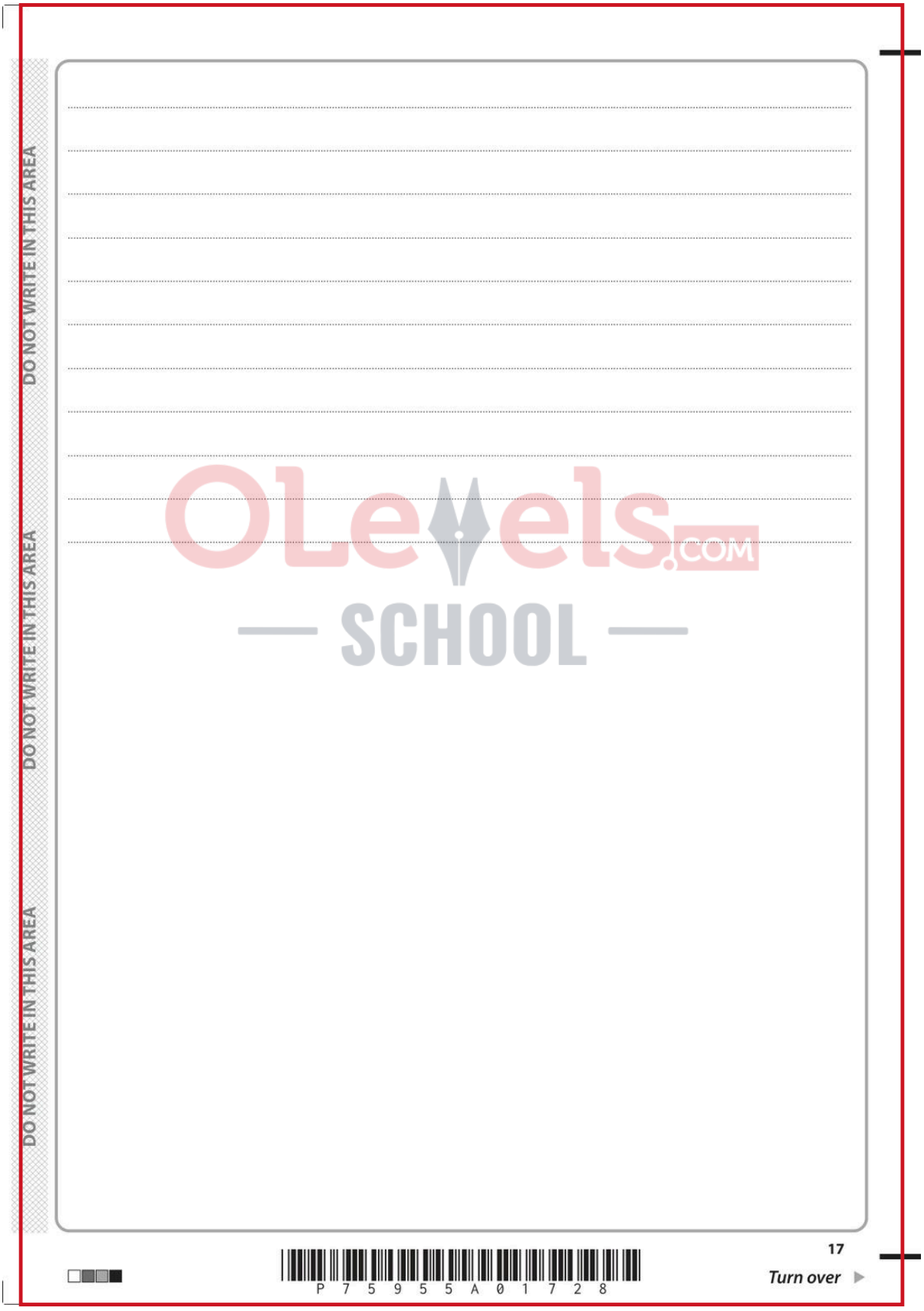
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

19. Question 3 · part d · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.



19. Question 3 · part d · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

Australia has a progressive income tax system. Individuals are allowed to earn $18 200 before paying any tax. The rate of tax payable increases as income gets higher.
In recent years, income tax has been the fastest growing source of government revenue in Australia.

Australian Government revenue 2022–2023

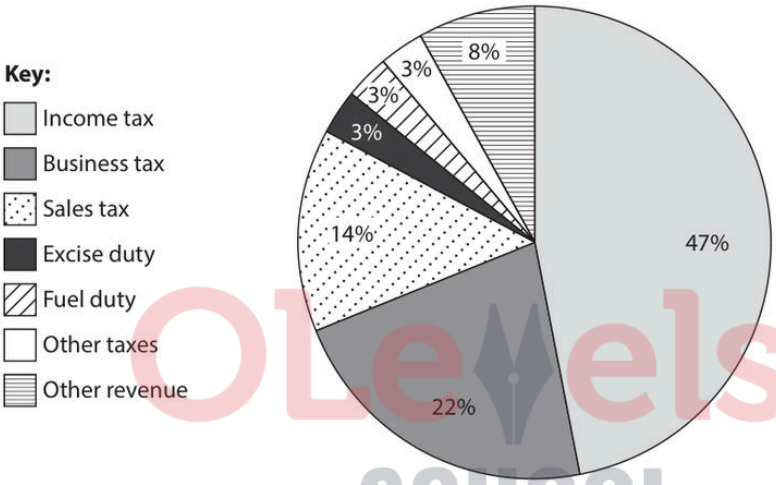


Figure 4

(e) With reference to the data above and your knowledge of economics, assess whether income tax is a reliable source of government revenue for a country such as Australia.

(9)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 7 5 9 5 5 A 0 1 8 2 8

19. Question 3 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

20. Question 2 · part f · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

2 (a) Which **one** of the following products has a price elastic demand?

(1)

		Product	Price elasticity of demand (PED)
☒	**A**	**W**	–1.5
☒	**B**	**X**	–1
☒	**C**	**Y**	–0.5
☒	**D**	**Z**	0

(b) Which **one** of the following is the formula for calculating average cost?

(1)

☒ **A** Total cost ÷ quantity produced

☒ **B** Total fixed cost ÷ quantity produced

☒ **C** Total variable cost ÷ quantity produced

☒ **D** Total revenue ÷ quantity produced

OLevels.COM — SCHOOL —

20. Question 2 · part f · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Figure 3 shows selected financial data of a firm producing calculators.

	$ per calculator
Selling price	$12.50
Raw materials	$3.25
Labour	$4.58

Figure 3

(c) Calculate the **profit or loss** for the firm for each calculator. You are advised to show your working.

(2)

(d) What is meant by the term patent?

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

20. Question 2 · part f · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(e) Describe **one** advantage to a firm of being privatised.

(2)

DO NOT WRITE IN THIS AREA

Many cities in the US have increased the number of traffic-light cameras in order to catch motorists if they drive through a red (stop) light.

(f) Explain **one** reason why the US Government may use fines to reduce the negative externalities caused by motorists who drive through a red traffic light.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

P 7 2 1 3 3 A 0 9 2 4

9

Turn over ▶

20. Question 2 · part f · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Many car manufacturers use division of labour during the production of vehicles. Employees are each given different tasks, such as welding, painting, inspection and testing.

(g) With reference to the data above and your knowledge of economics, assess whether a car manufacturer always benefits from using division of labour.

(9)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

20. Question 2 · part f · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

21. Question 1 · part g · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

1 (a) Which **one** of the following is an example of seasonal unemployment?

(1)

- ☒ **A** A farm worker having no work due to automation
- ☒ **B** A construction worker not finding work during the monsoon period
- ☒ **C** A skilled worker unable to find employment due to a recession
- ☒ **D** A person choosing not to work and being paid welfare benefits

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An increase in consumer demand for goods and services
- ☒ **B** A decrease in taxes on business profits
- ☒ **C** An increase in the prices of raw materials paid by producers
- ☒ **D** A decrease in interest rates set by the central bank

(c) What is meant by the term current account deficit?

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

21. Question 1 · part g · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(d) Describe **one** benefit to a country of using quotas for imported goods.

(2)

(e) Calculate the **price in euros (€)** of a UK-manufactured smartphone priced at £750 when the exchange rate is £1 = €1.18. You are advised to show your working.

(2)

OLevels.com SCHOOL

21. Question 1 · part g · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

In January 2024, China introduced a 6% tariff on coal from Russia, South Africa, Mongolia and the US.

(f) Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of coal in China. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

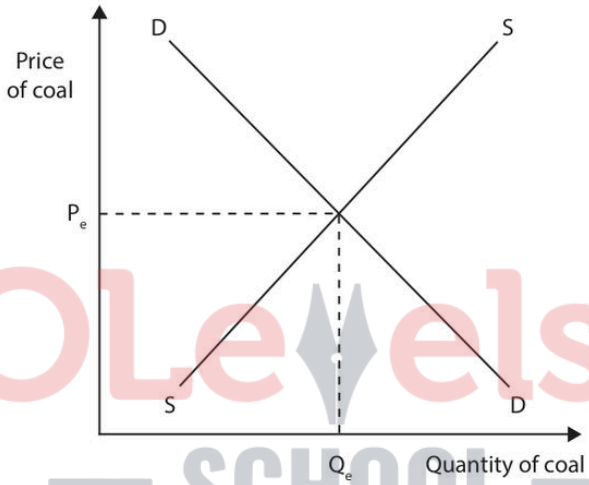


Figure 1

OLevels.COM SCHOOL

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

21. Question 1 · part g · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

The UK Government allocates pollution permits to airlines such as easyJet and British Airways as part of its environmental strategy. The government reduces the total number of allocated pollution permits every year.

(g) Explain **one** possible benefit of using pollution permits to protect the environment for a country such as the UK.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

21. Question 1 · part g · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

India was the fastest growing economy in the G20 group of nations with rapid economic growth of 7.2% in 2023. India's gross domestic product (GDP) growth rate in 2024 was forecast to be 6.9%.

(h) With reference to the data above and your knowledge of economics, analyse the benefits of using GDP as a measure of economic growth for a country such as India.

(6)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

21. Question 1 · part g · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

22. Question 3 · part a · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

3 (a) Which **one** of the following is an advantage of pollution permits?

(1)

- ☒ **A** They encourage unlimited industrial emissions
- ☒ **B** They reduce overall pollution by setting emission limits
- ☒ **C** They allow firms to ignore environmental regulations
- ☒ **D** They discourage investment in green technologies

An economy has a national output of €300bn and its current account deficit is €15bn.

(b) What is the current account deficit as a percentage of national output?

(1)

- ☒ **A** 0.05%
- ☒ **B** 2.85%
- ☒ **C** 5%
- ☒ **D** 20%

OLevels.COM — SCHOOL —

22. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

23. Question 4 · part c · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

4 Figure 5 shows the number of single-use plastic bags sold by the main retailers in the UK in 2021 and 2023.

Year	Number sold
2021	197 million
2023	133 million

Figure 5

(a) Calculate, to two decimal places, the **percentage decrease** in the number of single-use plastic bags sold in the UK between 2021 and 2023. You are advised to show your working.

(2)

OLevels.COM SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

20

P 7 2 1 3 4 A 0 2 0 2 8

23. Question 4 · part c · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

From food to clothes, supply chains have harmful impacts on the environment. In 2023, the supply of consumer goods and services was the largest single contributor to UK emissions at 26% of the annual total; the UK energy sector was second highest at 17%.

(b) With reference to the data above and your knowledge of economics, analyse how business activity can damage the environment in a country such as the UK.

(6)

OLevels.com SCHOOL

23. Question 4 · part c · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

23. Question 4 · part c · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

In October 2023, the UK Government introduced more regulations to tackle the problem of litter and to protect the environment from a range of single-use plastic items.

No firm in the food industry will now be able to sell single-use plastic cutlery, polystyrene cups, plastic plates and food containers in England.

Research shows people across England use 2.7 billion items of mostly plastic single-use cutlery and 721 million single-use plates every year, but only 10% of these are recycled.

Plastic pollution takes hundreds of years to break down and causes serious damage to oceans, rivers and land. It is a source of greenhouse gas emissions, from its production and manufacture to the way it is disposed of.

(c) With reference to the data above and your knowledge of economics, evaluate the possible advantages of using regulation to protect the environment for a country such as the UK.

(12)

OLevels.com SCHOOL

23. Question 4 · part c · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.



23. Question 4 · part c · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

(Total for Question 4 = 20 marks)

23. Question 4 · part c · 12 marks · Working and answer

Working and answer

OLevels.com SCHOOL